IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

(Filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of *Scheme of Arrangement(Demerger)*

Between

CP/ 14/CAA/2022 IN CA/ 40/CAA/2021

MOTHI SPINNERS PRIVATELIMITED
CIN: U17111TZ2000PTC009143
No.13B, Bridge Road,
Pallipalayam Post,
Namakkal District – 638 006

...Demerged Company

Along with

CP/13/CAA/2022 IN CA/23/CAA/2021

CHENDHOOR MURUGHAN YARN TEX INDIAPRIVATE LIMITED
CIN: U17300TZ2018PTC030363
No.422, Sekkumedu, Vediyarasampalayam,
Agraharam (PO), Pallipalayam,
Erode, Namakkal – 638 008

... Resulting Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Pronounced on ***20th April 2022***

CORAM

R. SUCHARITHA, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): *Pawan Jhabakh, Advocate*

COMMON ORDER

***Per:*R. SUCHARITHA, MEMBER (JUDICIAL)**

Under consideration are two Company Petition filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement, as contemplated between the Petitioner Companies viz. **Mothi Spinners Private Limited***(hereinafter referred to as "Demerged Company")* and **ChendhoorMurughan Yarn Tex India Private Limited***(hereinafter referred to as "Resulting Company")*and their respective shareholders and creditors under Section 230 to 232 and other applicable provisions of the Companies Act, 2013(hereinafter 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter 'the Rules') pursuant to the Scheme of Arrangement (hereinafter the 'SCHEME') proposed between the Companies and the said Scheme is also annexed as "Annexure A4" to the typed set filed along with the CP/CAA/13&14/CHE/2022.

2. The Registered office address of the Demerged Company is situated at Erode, Tamil Nadu and falls within the jurisdiction of NCLT Chennai Bench. The Demerged Company had filed a company application bearing CA/23&40/CAA/2021 before the NCLT, Chennai Bench and directions were issued vide order dated 04.10.2021.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. This Tribunal vide its Order dated 04.10.2021 inCA/23 &40 /CAA/2021, had ordered for holding of meetings of the Unsecured Creditors of the Demerged Company and the ResultingCompany. Subsequent to the said order, the Petitioner Company has filed the present Petition before this Tribunal on 03.12.2021 for sanction of the Scheme of Arrangement by this Tribunal.

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 04.10.2021, to convene the meetings of the Unsecured Creditors of the Demerged Company on 20.11.2021at No.100, Komarapalayam Road, Pallipalayam, Erode – 638 006 at 10:30 AM and to convene the meetings of the Unsecured Creditors of the Resulting Company on 20.11.2021 at No.422, SekkumeduVediyarasampalayam, Agraharam (PO), Pallipalayam, Erode – 638 008 at 12:30 PM.Accordingly the Tribunal has appointedMr.C.Thirumurthy as Chairman and Mr.B.Veena Srihari, PCS as Scrutinizer for the above said meetings.

3.3. The Chairman submitted his Report on the above said meetings held on 20.11.2021. From the Chairman's Report, it is observed that the Unsecured Creditors of both the Demerged Company and the Resulting Company had consented in favour of the Scheme. The said Chairman's report with respect to Demerged Company is annexed at "Annexure A12" (Page Nos. 290 to 329, Vol I) and with respect to Resulting Company is annexed at "Annexure A12" (Page Nos. 120 to 156, Vol I)to the typed set filed along with the Petition.

4. **RATIONALE OF THE SCHEME**

4.1. The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

A. In case of Demerged Company:

i. Unlocking the value of the Textile Business for the shareholders of the Demerged Company;

ii. Assisting in the de-leveraging of its balance sheet including reduction of debt and outflow of the interest as well as creation of value of its shareholders and;

c. Considering the significant growth in its business operations and for greater focus in the various activities of the said company to ensure accelerated growth and improved profitability, it

would be advantageous to re-organise the company by vesting the Unit V Division of Mothi Spinner Private Limited in the Resulting Company.

B. In case of Resulting Company:

i. Creating value for its shareholders by acquiring ready to use assets which shall improve operational efficiencies;

ii. Strategic fit for serving existing markets and catering to new segments and future potential markets and;

c. Synergies in manufacture and distribution process and logistics alignment leading to economics of sales and creation of efficiency by reducing time to market and benefiting customers.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 16.02.2022 has directed the Demerged Company and ResultingCompany to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Coimbatore, (iii) the Reserve Bank of India and (iv) the Income Tax Department, and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in *"The New Indian Express"*, English (All India Edition) and *"Dina Mani"* Tamil (TamilNadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal on 23.03.2022 and a perusal of the same discloses that the Demerged Company and the Resulting Company has effected paper publication as directed by the Tribunal in *"The New Indian Express"* (All India Edition) in English and *"Dina Mani"* (Tamil Nadu Edition) in Tamil on 26.02.2021. It is also seen that notices were also served on (i) The Regional Director, Southern Region on 22.02.2022(ii) Registrar of Companies Chennai on22.02.2022 (iii) Income Tax Department, Circle 1, Erode on 22.02.2022 and (iv)The Reserve Bank of India on 22.02.2022. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, Southern Region*(hereinafter referred to as 'RD')* to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal on 24.12.2021 and has stated that Para 9 of Part IIof the Scheme provides thatthe Authorized Share Capital of the Resulting Company shall stand increased from the present authorized share capital of Rs.10,00,000 to Rs.30,00,000. As

such, Clause V of the Memorandum of Association and Articles of Association are substituted as the Authorized Share Capital of the Company shall be Rs.30,00,000 divided 30,000 equity shares of Rs.100 each. The Resulting Company may be directed to make payment of fee/ stamp duty, if any, in compliance with Sec.232(3)(i) and also to file the amended MOA and AOA with RoC, Coimbatore in the prescribed e-form. It is also stated that as per the report of Registrar of Companies, Coimbatore, both the Demerged and Resulting Company had filed its statutory returns up to 31.03.2020and had further stated that there is no prosecution filed, no complaints pending and no inspection / investigation has been ordered / pending in respect of both the companies.

7.2. Thus, after examining the Scheme, except the observations as extracted *supra*, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.3. OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory

Department viz.The Income Tax Department and the Reserve Bank of India donot have any objection to the sanction of the Scheme.

7.4 Despite notice having been served, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.5 In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable*

for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

8. **VALUATION REPORT**

8.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one CS.Shweta Joshi,Registered Valuerwherein it has been recommended by the Independent Valuer as follows:

> "10 (Ten) Equity shares of ChendhoorMurughan Yarn Tex India Private Limited of Rs.100 each fully paid up for every 773 (Seven Hundred and Seventy Three) equity shares of Mothi Spinners Private Limited of Rs.100each fully paid up."

8.2 The above said Valuation Report is annexed at Annexure "A5" of the Typed Set of the Petitioner Companies.

9. **ACCOUNTING TREATMENT**

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in

compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of Demerged Company is placed at page No.109 Vol.I and with respect to Resulting Company the said Accounting Treatment Certificate is placed at Page No.99 Vol. Ito the typed set filed along with the petition.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and may not be in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "A4" along with CP/13&14/CAA/2022.

10.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Demerged or Resulting Company under the provisions of the Companies Act, 1956 or the Companies Act,

2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting

Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

(ii) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

(iii) That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company; and

(iv) That all the services of all the employees of the Demerged Company employed in the Demerged undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

(v) That the Resulting Company do without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by Clause 10.1 of Part II of the SCHEME herein the shares in the Resulting Company to which they are entitled under the said SCHEME.

(vi) That the Resulting Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Resulting Company after setting off the fees paid by the Demerged Company.

(vii) That the Appointed date for the Scheme shall be **01.04.2020** as mentioned in Part Iof the SCHEME itself. That the Effective Date shall be the last of the dates on which the Certified copies of the Orders of the Tribunal Court sanctioning this Scheme of Arrangement (Demerger) are filed with the Registrar of Companies, Coimbatore, TamilNadu, by the Demerged Company and the Resulting Company as mentioned in Part I of the Scheme.

(viii) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

(ix) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-Sd-
SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-
R. SUCHARITHA
MEMBER (JUDICIAL)

Sriram Ananth.V